

Bitcoin's price resilience in 2017, compared to the devastating price impact in 2013, reveals a valuable lesson for the innovative investor on the importance of trading volumes, exchange diversity, and trading pair diversity. In December 2013, trading volumes averaged \$60 million, whereas in December 2016 they averaged \$4.1 billion. Hence, there was significantly more market depth leading into the PBoC announcement in 2017 than there was in 2013. Furthermore, in 2013 bitcoin trading occurred on a much more limited number of exchanges (most activity was at Mt. Gox). Currency pair diversity was not nearly as robust either, both through different fiat currencies or other cryptoassets.

In 2017, bitcoin was able to recover quickly because market liquidity, exchange diversity, and trading pair optionality came through in spades. As a result, when the PBoC issued its regulations, there were plenty of other investors and traders outside of China to pick up the slack, leading to an inversion in market share of fiat currencies used to trade bitcoin, as shown in [Figure 9.4](#). The Chinese yuan's percent of market share fell from 90+ percent to less than 10 percent.